GLOBAL MANUFACTURING & ENGINEERING OPERATIONS

AETHER DYNAMICS MANUFACTURING INC.

STANDARD OPERATING PROCEDURE & EMPLOYEE POLICY GOVERNANCE MANUAL

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PREAMBLE & EXECUTIVE AUTHORIZATION

This Policy Governance Manual outlines the definitive human resources, operational, and administrative standards regulating employment with **Aether Dynamics Manufacturing Inc.** ("Company"). As a precision electronics manufacturing corporation operating cleanroom fabrication plants, surface-mount technology (SMT) assembly lines, and global R&D centers, strict compliance with these operational directives is a condition of continued employment.

This manual supersedes all previous local operational guidelines, oral representations, and legacy handbooks. It applies to all full-time, part-time, shift-based, technical, engineering, and executive personnel across all cleanroom facilities, manufacturing plants, logistics hubs, and corporate administrative sites globally.

MANDATORY EMPLOYEE COMPLIANCE STATEMENT

Every employee is required to read, understand, and adhere to all policies set forth herein. Failure to observe company policies may result in formal disciplinary action up to and including immediate termination for cause, civil liability, or regulatory escalation.

TABLE OF CORPORATE POLICIES

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1.0 GLOBAL ANNUAL LEAVE & STATUTORY PAID TIME OFF POLICY

1.1 Purpose & Scope

Aether Dynamics Manufacturing Inc. recognizes the necessity of structured rest and recuperation to maintain operational safety, quality control, and workplace well-being. This policy governs paid annual leave entitlement, accrual methodologies, request workflows, and operational coverage constraints for administrative and manufacturing line staff.

1.2 Job Classification Bands & Accrual Entitlements

Annual leave entitlements are determined by the employee's assigned Employee Job Band (EJB) and years of continuous service within the company. Accrual occurs on a monthly pro-rata basis starting on the first operational day of employment.

JOB BAND LEVEL	DESIGNATION CATEGORIES	1 - 3 YEARS TENURE	4 - 7 YEARS TENURE	8+ YEARS TENURE
Band A (Operators)	Cleanroom Technicians, Assembly Staff, SMT Line Operators	15 Days / Year	18 Days / Year	22 Days / Year
Band B (Technical)	Quality Engineers, Process Technicians, Maintenance Crew	18 Days / Year	21 Days / Year	25 Days / Year
Band C (Professional)	Hardware Design Engineers, Supply Chain Specialists, HR	20 Days / Year	24 Days / Year	28 Days / Year
Band D & E (Executive)	Plant Managers, Department Heads, Vice Presidents, C-Suite	25 Days / Year	28 Days / Year	30 Days / Year

1.3 Accrual Mechanics & Calculation Formulas

Leave is accrued monthly at the end of each completed calendar month according to the following mathematical standard:

$$\text{Monthly Accrual Rate} = (\text{Annual Base Entitlement Days}) \div 12$$

Employees in their probationary period (first 90 days of employment) accrue leave credits monthly but are not permitted to take paid annual leave until successful completion of probation, unless mandated by local statutory labor codes.

1.4 Application & Approval Approval Workflows

To ensure continuous fabrication plant operation and avoid production bottlenecks, annual leave requests must adhere to strict notice periods:

- **1 to 2 consecutive days:** Requires written request submitted at least 3 business days in advance via HRIS portal.
- **3 to 5 consecutive days:** Requires written request submitted at least 14 business days in advance.
- **6 or more consecutive days:** Requires written request submitted at least 30 business days in advance.

Approval priority is evaluated based on submission timestamp, critical production line schedule requirements, project delivery deadlines, and existing department coverage ratios. No more than 15% of engineering staff or 10% of active cleanroom shift personnel within a single module may be on approved leave simultaneously.

1.5 Annual Plant Shutdown Periods

Aether Dynamics conducts two mandatory annual manufacturing facility shutdown periods for heavy machinery re-tooling, cleanroom deep sanitization, and preventative calibration:

1. **Mid-Year Maintenance Shutdown:** Last 5 working days of June.
2. **Year-End Operational Pause:** December 24th through January 1st inclusive.

During these mandatory shutdown windows, production staff (Bands A and B) must utilize accrued annual leave days. If an employee has insufficient accrued leave balance, the unearned leave days will be deducted from the subsequent year's allocation or taken as unpaid leave upon explicit HR manager sign-off.

1.6 Carry-Over Limits & Forfeiture Policies

Employees are encouraged to utilize their full annual leave allocation within the active calendar year (January 1 – December 31). A maximum of **5 unused leave days** may be rolled over into the following calendar year. Rollover days must be fully consumed before March 31st of the new calendar year. Any rolled-over days remaining unused after March 31st will be forfeited automatically without financial encashment, unless forbidden by local statutory law.

2.0 SICK LEAVE, MEDICAL ABSENCE & DISABILITY MANAGEMENT POLICY

2.1 Policy Statement & Health Integrity Standard

Operating high-tech cleanrooms, surface-mount assembly environments, and heavy robotic automation equipment requires optimal physical and cognitive function. Aether Dynamics maintains strict medical leave provisions to ensure employee recovery, prevent workplace contagion, and uphold health and safety benchmarks across our manufacturing units.

2.2 Annual Sick Leave Allowance

All full-time permanent employees are allocated **14 days of Paid Sick Leave** per calendar year, credited in full on January 1st. New hires joining mid-year receive a pro-rated allocation calculated from their official start date.

ABSENCE TYPE	PAID DURATION	COMPENSATION LEVEL	DOCUMENTATION REQUIREMENT
Short-Term Sick Leave	1 to 2 Consecutive Days	100% Base Salary	Self-declaration via HRIS within 2 hours of shift start.
Certified Medical Leave	3 to 14 Consecutive Days	100% Base Salary	Official Medical Certificate from licensed healthcare practitioner.
Extended Illness / Convalescence	15 to 60 Consecutive Days	75% Base Salary	Formal Hospital Medical Board certification + Occupational Health review.

ABSENCE TYPE	PAID DURATION	COMPENSATION LEVEL	DOCUMENTATION REQUIREMENT
Long-Term Disability	Exceeding 60 Days	Insured Disability Rate	Transition to Corporate Long-Term Disability Insurance Scheme.

2.3 Notification Protocols for Manufacturing & Office Staff

Unplanned medical absences disrupt high-volume component fabrication lines. Therefore, strict adherence to notification timing is mandatory:

- **Shift Workers & Cleanroom Personnel:** Must notify the Duty Shift Supervisor and HR Automated Absence Line at least **2 hours prior to shift commencement**. Failure to notify within this window without demonstrably impossible circumstances will result in an Unexcused Absence (LWOP) status and disciplinary logging.
- **Administrative & Engineering Staff:** Must notify their direct Reporting Manager and log the request in HRIS by 08:30 AM on the day of absence.

2.4 Medical Certification & Verification Standards

A legitimate Medical Certificate (MC) must be uploaded to the HRIS portal upon return to work or within 48 hours from the onset of leave for prolonged illnesses. The certificate must contain:

1. Full name and registration license number of the treating medical physician.
2. Official stamp and clinic/hospital contact details.
3. Explicit confirmation that the employee was medically unfit for work duties during the specific absence dates.

The Company reserves the explicit right to request an independent medical evaluation by a Company-appointed occupational health physician for any continuous sickness absence exceeding 5 business days, or where recurring absence patterns suggest potential abuse of leave privileges.

> **FRAUDULENT SICK LEAVE WARNING**
> Submitting falsified medical documentation, altering authentic medical certificates, or undertaking secondary paid work while on paid sick leave constitutes gross misconduct and will result in immediate termination of employment without notice or severance pay.

2.5 Fitness-for-Duty Evaluations for Cleanroom and Assembly Operations

Employees returning from medical leave involving contagious illnesses, surgical procedures, chemical exposure recovery, or musculoskeletal injuries impacting physical mobility must undergo an official **Fitness-for-Duty (FFD) Assessment** conducted by Environmental Health & Safety (EHS) prior to re-entering cleanroom or automated production environments.

3.0 ANNUAL CORPORATE BONUS & VARIABLE INCENTIVE COMPENSATION FRAMEWORK

3.1 Overview & Eligibility

Aether Dynamics operates a performance-driven Annual Variable Incentive Bonus Scheme ("Annual Bonus") designed to reward high operational yield, quality excellence, engineering innovation, and financial performance. Participation in the bonus scheme is open to all permanent employees who have completed at least 6 months of continuous active service within the relevant financial year (January 1 – December 31).

3.2 Financial Trigger & Corporate Pool Funding

The allocation and total quantum of the Annual Bonus pool are strictly contingent upon the Company achieving its annual financial performance threshold, specifically corporate **Earnings Before Interest, Taxes, Depreciation, and Amortization (EBITDA)** targets established by the Board of Directors at the start of each financial year.

CORPORATE EBITDA ACHIEVEMENT	BONUS POOL FUNDING MULTIPLIER	IMPACT ON EMPLOYEE TARGET BONUS
Below 85% of Target	0% (Threshold Not Met)	No Variable Bonus Distributed
85% – 99% of Target	50% – 95% (Pro-rated)	Reduced Variable Payout
100% of Target (On-Target Performance)	100% Funding	100% Target Bonus Payout
101% – 125% of Target (Overperformance)	110% – 150% Maximum Funding	Enhanced Variable Bonus Distributed

3.3 KPI Weighting Structure by Job Function

When the corporate bonus pool is funded, individual bonus payouts are calculated based on a weighted matrix of Corporate Results, Site Operational Metrics, and Individual Performance Evaluations (KPIs):

EMPLOYEE CATEGORY	CORPORATE PERFORMANCE	PLANT / SITE OPERATIONAL YIELD	INDIVIDUAL KPI ACHIEVEMENT
Manufacturing Operators (Band A)	10%	50% (Line Scrap Rate & Output)	40% (Attendance & Quality)
Engineers & Technicians (Band B)	20%	40% (First-Pass Yield / Equipment OEE)	40% (Project Milestones & Innovation)
Professional & Corporate (Band C)	40%	20% (Department Operational Budget)	40% (Individual Deliverables)
Plant Leadership & Execs (Band D/E)	60%	20% (Site Safety & EBITDA Yield)	20% (Strategic Objectives)

3.4 Performance Calculation & Payout Mechanics

Individual Performance (Individual KPI Achievement) is rated annually during the performance appraisal cycle on a scale from 1 to 5:

- **Rating 5 (Outstanding - Top 10%):** Eligible for 130%–150% of target bonus allocation.
- **Rating 4 (Exceeds Expectations - Next 20%):** Eligible for 110%–125% of target bonus allocation.
- **Rating 3 (Meets Expectations - Core 50%):** Eligible for 100% of target bonus allocation.
- **Rating 2 (Needs Improvement - Bottom 15%):** Eligible for 50% of target bonus allocation; placed on Performance Improvement Plan (PIP).
- **Rating 1 (Unsatisfactory - Bottom 5%):** 0% Bonus payout; mandatory PIP or immediate job re-alignment.

3.5 Payment Schedule, Clawback Provisions & Terminations

Annual bonus payments are disbursed in the second payroll cycle of March following the close of the financial evaluation year. To remain eligible for payment, the employee must be actively employed by Aether Dynamics on the actual date of bonus disbursement and must not be serving a notice period for resignation or termination.

> **CORPORATE FINANCIAL CLAWBACK CLAUSE**
> The Company reserves the right to initiate financial clawback of any disbursed bonus funds within 24 months of payment if subsequent audit reveals material financial restatements, intentional misreporting of manufacturing yield figures, or gross misconduct occurring during the performance year.

4.0 REMOTE WORK, TELECOMMUTING & FLEXIBLE WORK ARRANGEMENTS

4.1 Operational Framework & Eligibility Tiers

Due to the physical nature of electronics manufacturing, cleanroom maintenance, and hardware prototyping, remote work eligibility is strictly defined by role classification and operational necessity. Remote work is a revocable privilege, not an inherent employee entitlement.

WORK ARRANGEMENT TIER	ELIGIBLE EMPLOYEE ROLES	MAXIMUM REMOTE DAYS ALLOWED	MANDATORY ON-SITE PRESENCE
Tier 1: On-Site Imperative	Cleanroom Technicians, SMT Operators, Facility Engineers, Quality Testers	0 Days (100% On-Site Mandatory)	5 Days / Week
Tier 2: Hybrid Technical	Hardware Design Engineers, Embedded Software Devs, NPI Engineers	Up to 2 Days / Week (Approval Required)	3 Days / Week Minimum
Tier 3: Hybrid Administrative	Finance, Legal, HR, Global Supply Chain Planners, IT Systems	Up to 3 Days / Week	2 Days / Week Minimum

4.2 Electrostatic Discharge (ESD) & Home Lab Prohibitions

Employees operating under Tier 2 Hybrid arrangements who handle physical printed circuit board assemblies (PCBAs), silicon wafers, or sensitive microelectronic components at off-site locations must maintain a certified home ESD-safe workstation compliant with **ANSI/ESD S20.20 standards**.

Under no circumstances may high-voltage hardware development, hazardous chemical testing, or unreleased prototype fabrication occur within residential premises. Any testing requiring specialized containment must occur exclusively within designated plant cleanrooms.

4.3 Information Security, Data Protection & IP Safeguards

All remote work activities involving company intellectual property, circuit schematics, semiconductor mask layouts, or customer proprietary data are subject to stringent cybersecurity controls:

- Remote access is permitted exclusively via company-issued, encrypted laptops equipped with mandatory Virtual Private Network (VPN), multi-factor authentication (MFA), and Endpoint Detection and Response (EDR) software.
- Connecting unmanaged personal computers, personal storage drives (USB/external HDDs), or unauthorized cloud storage accounts to company devices is strictly prohibited and monitored in real-time.
- Printing corporate documents, confidential technical drawings, or bill-of-materials (BOM) files outside company facilities is blocked by corporate digital rights management software.

4.4 Ergonomic Standards & Core Operating Hours

Remote employees are required to establish a dedicated, ergonomically sound workspace free from non-work-related distractions and environmental hazards. The Company provides a one-time remote workspace ergonomic stipend of up to **$500** for Tier 2 and Tier 3 permanent employees for certified ergonomic seating or desk equipment.

All telecommuting staff must maintain availability on designated corporate communication channels (Microsoft Teams, Slack, Email) during local plant **Core Hours (09:00 to 16:00 local time)** regardless of flexible start/end schedules.

5.0 VOLUNTARY RESIGNATION, NOTICE PERIODS & OFFBOARDING PROTOCOLS

5.1 Notice Period Requirements by Job Band

To ensure continuity of manufacturing operations, schedule integrity, and seamless knowledge transfer, employees choosing to resign from Aether Dynamics must provide formal written notice to their immediate supervisor and HR Department according to their job band classification:

EMPLOYEE JOB BAND	STANDARD NOTICE PERIOD	NOTICE PERIOD DURING PROBATION	HANDOVER DOCUMENTATION REQUIRED
Band A (Operators / Technicians)	2 Weeks (14 Calendar Days)	2 Business Days	Standard Tool & Equipment Checklist
Band B (Engineers / Specialists)	1 Month (30 Calendar Days)	1 Week	Technical Handover Log & Code Repository
Band C (Senior / Management)	2 Months (60 Calendar Days)	2 Weeks	Project Management Sign-off & Audit

EMPLOYEE JOB BAND	STANDARD NOTICE PERIOD	NOTICE PERIOD DURING PROBATION	HANDOVER DOCUMENTATION REQUIRED
Band D & E (Directors / Executives)	3 Months (90 Calendar Days)	1 Month	Comprehensive Strategic Executive Summary

5.2 Formal Resignation Submission Process

A resignation letter must be submitted formally through the HRIS Offboarding Portal. Oral notices, text messages, or informal emails are not recognized as official notifications. The resignation notice period commences on the business day following formal portal submission.

5.3 Payment in Lieu of Notice (PILON) & Garden Leave

The Company reserves the sole discretion to waive an employee's requirement to serve their notice period, in whole or in part, by option of:

- **Payment in Lieu of Notice (PILON):** Reimbursing the employee their base salary equivalent to the active notice period, terminating active employment immediately.
- **Garden Leave:** Instructing the employee to remain away from company premises while maintaining active employment status, base salary, and full duty of confidentiality for the duration of the notice period. Garden leave is typically invoked for research engineers, key sales managers, or executive personnel with access to sensitive technological IP or commercial negotiations.

5.4 Asset Recovery, Cleanroom Access Revocation & Exit Clearance

Prior to the final day of employment, departing personnel must complete the Mandatory Asset Return & IT Access Revocation Clearance Workflow:

DEPARTMENT CLEARANCE	REQUIRED ACTIONS & RECOVERABLE ASSETS	SIGN-OFF AUTHORITY
Facility & Security	Return Cleanroom Access Badges, Locker Keys, Parking Passes, ESD Suits	Site Security Lead
Information Technology	Return Laptop, Monitors, Mobile Devices, Tokens; Wipe Local Data	IT Asset Manager
EHS & Engineering	Return Calibration Tools, Testing Equipment, Dosimeters, Safety Gear	EHS Safety Officer
Finance & Payroll	Clear Corporate Credit Card balances, Settle Travel Advances & Loans	Finance Controller

Failure to return company equipment or resolving financial liabilities will result in equal monetary deductions from the employee's Final Settlement payout, where permitted by governing labor laws.

5.5 Exit Interview & Non-Compete / IP Obligations

Resigning employees must participate in a mandatory Exit Interview conducted by HR prior to their departure date. During this session, employees will be formally re-advised of their ongoing contractual legal obligations, including:

1. **Non-Disclosure & Trade Secret Secrecy:** Perpetual confidentiality regarding silicon layout specs, proprietary manufacturing yields, customer lists, and vendor cost structures.
2. **Non-Solicitation of Staff:** Restriction from recruiting, soliciting, or enticing away company personnel for a period of **12 months** post-employment.
3. **Intellectual Property Assignment:** Re-confirmation that all inventions, patents, code, and designs generated during employment remain sole corporate property of Aether Dynamics.

6.0 INVOLUNTARY TERMINATION, SEVERANCE FRAMEWORK & PROGRESSIVE DISCIPLINE

6.1 Progressive Disciplinary System

Except in cases of Gross Misconduct warranting summary dismissal, Aether Dynamics utilizes a standard Progressive Disciplinary Framework to address employee performance deficiencies, policy breaches, or operational non-compliance:

DISCIPLINARY STAGE	TRIGGER / CIRCUMSTANCE	VALIDITY PERIOD	AUTHORITY & ESCALATION LEVEL
Stage 1: Informal Counseling	Minor operational error, single tardiness, minor dress code infraction	3 Months	Direct Supervisor
Stage 2: Formal Written Warning	Repeated minor offenses, unexcused absence, minor safety breach	6 Months	Department Manager + HR
Stage 3: Final Written Warning	Critical ESD violation, failure of PIP, repeated safety non-compliance	12 Months	Plant Manager + HR Director
Stage 4: Termination of Employment	Failure to remediate performance during PIP, severe policy breach	Permanent	VP Human Resources & Legal Sign-off

6.2 Gross Misconduct & Summary Dismissal

Gross Misconduct is defined as severe unacceptable behavior or deliberate violation of corporate integrity that irrevocably destroys the relationship of trust between employer and employee. Offenses classified as Gross Misconduct result in **Immediate Summary Dismissal** without notice, PILON, or severance entitlement, following a formal internal inquiry.

NON-EXHAUSTIVE LIST OF SUMMARY DISMISSAL OFFENSES

- Falsification of quality assurance data, chip test results, or cleanroom contamination logs.
- Theft, unauthorized removal, or intentional destruction of proprietary hardware, tools, or raw silicon materials.
- Working under the influence of alcohol, narcotics, or unauthorized controlled substances on manufacturing premises.
- Direct breach of intellectual property rules, industrial espionage, or leaking schematics to competitors.
- Bypassing critical machine safety interlocks, exposing cleanroom staff to extreme hazard or injury.
- Physical violence, workplace harassment, intimidation, or gross insubordination toward supervisory staff.

6.3 Redundancy, Economic Restructuring & Severance Matrix

In events where involuntary termination occurs due to plant restructuring, operational downsizing, line automation, or macroeconomic downturns (without cause), impacted employees receive statutory or contractual severance compensation based on length of service:

COMPLETED CONTINUOUS SERVICE YEARS	SEVERANCE COMPENSATION FORMULA	OUTPLACEMENT SUPPORT EXTENDED
Less than 1 Year	0.5 Month Base Salary	Resume Writing & Career Counseling
1 Year to 3 Years	1.0 Month Base Salary per completed year	3 Months Career Transition Coaching
4 Years to 7 Years	1.5 Months Base Salary per completed year	6 Months Outplacement & Retraining Support
8 Years and Above	2.0 Months Base Salary per completed year (Capped at 24 Months)	Executive Career Transition Program

6.4 Final Settlement Calculation & Disbursement Timeline

Upon termination (voluntary or involuntary), the HR Payroll Division calculates the employee's Final Settlement ("Final Pay"), which encompasses: Earned unpaid base salary up to final working date, accrued unconsumed annual leave balance payouts, statutory pro-rated bonus allocations (if applicable under non-cause termination), and statutory severance (if applicable).

Final Settlements are disbursed within **14 calendar days** from the official termination date, contingent upon full completion of exit clearance and recovery of company property.